IN THE NATIONAL COMPANY LAW TRIBUNAL
SINGLE BENCH, CHENNAI

CP/397/CAA/2019
In
CA/219/CAA/2018

Under Sections 230 to 232 read with Section 66 of the Companies Act, 2013

In the matter of Scheme of Amalgamation

Between

M/s. Oasis Ventures Private Limited

(Transferor Company 1)

And

M/s. Rayce Electronic Intelligence India Private Limited

(Transferor Company 2)

With

M/s. i3 Security Private Limited

(Transferee Company)

Order delivered on 2nd May, 2019

CORAM:

CH. MOHD SHARIEF TARIQ, MEMBER (J)

For Petitioner(s) : Ms. B Chandra, PCS
For OL : Mr. K.Manivannan, Authorized Representative

ORDER

Per: CH. MOHD SHARIEF TARIQ, MEMBER (J):

1. Under consideration is the Joint Company Petition No. 397/CAA/2019 filed under Section 230 to 232 read with Section 66 of the Companies Act, 2013. As per the Scheme of Amalgamation (in Short, **'Scheme'**), M/s. Oasis Ventures Private Limited (hereafter referred to as **'Transferor Company 1'**) and M/s. Rayce Electronic Intelligence India Private Limited (hereafter referred to as **'Transferor Company 2'**) are proposed to be merged, amalgamated and vested with M/s. i3 Security Private Limited (hereafter referred to as **'Transferee Company'**) as a going concern.

2. The Transferor Company 1 was incorporated under the Companies Act, 1956 on 04.09.2013, having its Registered Office at Door No. 88, Old No. 97 Anna Salai Guindy, Chennai -600032. The Transferor Company 2 was incorporated under the Companies Act, 2013 on 13.02.2015, having its Registered Office at Door No. 88, Mount Road, Guindy, and Chennai -600032. The Transferee Company was incorporated

under the Companies Act, 1956 on 02.11.2011, having its Registered Office at New No. 26, Old No. 14, 5th Cross Street, R.V. Nagar Anna Nagar East, Chennai, TN 600102.

3. The main objects of the Transferor Company 1 are to carry on the business of providing facility management services, etc. The details of the main objects are set out in the Memorandum of Association of the Transferor Company 1. The main objects of the Transferor Company 2 are to carry on the business of manufacturing, trading, supply, installation, commissioning and service of integrated electronic security solution systems both indigenous and imported such as CCTV, time and access control, retail anti shop lifting systems, intrusion/fire detection, under vehicle auto scanner, metal detector, baggage scanner, retail display secure systems and fixture in industrial, commercial and household sector, etc. The details of the main objects are set out in the Memorandum of Association of the Transferor Company 2. The main objects of the Transferee Company are to carry on the business of security services, facility management,

hospitality services and supply of all types of personnel for guarding and protecting the people, premises and properties to the extent as are permissible and to provide the services of labour, staff, officer, executive, manager outsourcing, management consulting, advisory services in security, guarding, facility, hospitality service, etc. The details of the main objects are set out in the Memorandum of Association of the Transferee Company. The Board of Directors of the Transferor Companies 1 & 2 and Transferee Company vide their Resolution(s) dated 08.10.2018, have approved the present Scheme of Amalgamation. The other necessary requirements have also been fulfilled as per the Order dated 14.01.2019 passed by this Bench in CA/219/CAA/2018.

4. The authorised representative appearing for the Petitioner Companies has submitted that the Transferor Company 1 is a wholly owned subsidiary of M/s. Mercantile Ventures Limited and, the Transferor Company 2 and Transferee Company are step down subsidiaries of M/s. Mercantile Ventures Limited. He has further submitted that the proposed Scheme of

amalgamation will be beneficial to all the companies involved in the Scheme and will result in better and more efficient operation of the amalgamated company after such amalgamation. He has further submitted that no proceedings are pending against the Petitioner Companies under the provisions of the Companies Act, 2013.

5. The Regional Director, Southern Region (In short, '**RD**') in his Affidavit dated 27.02.2019 submitted that Clause 7, Part-III of the Scheme provides for the protection of the interest of the employees of the Transferor Companies. It has further been submitted that as per the report of the RoC, Coimbatore, the Transferor Companies and Transferee Company are regular in filing their statutory returns. He has further submitted that no complaints are pending and no inspection or investigation has been conducted against the Petitioner Companies.

6. The RD has also observed that Clause 16 of the Scheme has stated that the authorised capital of the Transferor Companies will be merged with the authorised capital of the Transferee Company. Therefore, the Transferee Company may

be directed to file the amended MoA and AoA with the RoC, Chennai for records, and pay the fees, if any, for the enhanced authorised capital subsequent to the amalgamation after setting off the fees paid by the Transferor Companies.

7. The RD has further observed that clause 15 of the Scheme has provided for the amendment to Object clause under III (A) of the MOA i.e., Main objects by inserting clauses 2 to 4 after clause (1) of the Transferee Company. Therefore, the Transferee Company may be directed to file the amended MoA and AoA with the RoC, Chennai in the requisite eform for his records and for issuing the Certificate of Change of Objects by RoC, Chennai.

8. In relation to the observations made by the RD in his report, the authorised representative of the Transferee Company has filed an Undertaking stating therein that the Transferee Company undertakes to pay the requisite statutory fee payable upon increase of the authorised share capital of the Transferee Company as per the applicable legal provisions. Therefore, in the light of the observations of the RD as

recorded under Para 6 and 7 herein above, the Transferee Company shall amend the MoA and AoA and file the same with the concerned RoC, and shall pay fee as may be required.

9. The Official Liquidator (In short, **'OL'**) in his Report dated 26.03.2019, submitted that on receiving the copy of the Order dated 14.01.2019, he has nominated M/s. Soleti Associates, Chartered Accountants, who is one of the empanelled Auditors by the Hon'ble High Court of Madras to look into the Scheme, and to scrutinize the books of accounts of the Transferor Companies. The Auditor has broadly reviewed and observed that the Scheme of Amalgamation, has been drawn up to comply with the conditions relating to Amalgamation as specified under section 2(1B) of the Income Tax, 1961. The shareholding and other rights of the members of the Transferee Company will remain unaffected as entire assets and liabilities are going to be merged with the Transferee Company at book value.

10. The OL has also submitted that the Transferee Company shall ensure continuance of the length of service of the employees of the Transferor Companies, if any, in service from effective date of amalgamation and also ensure that the terms and conditions of service applicable to employees after coming into force of this scheme shall not in any way be less favourable to them than those to which they were entitled to immediately before the transfer.

11. The OL has further submitted that on inspection of records of the company through MCA 21 portal, it is found that the company has not contravened the provisions of the Companies Act, 2013. The Transferor Companies are regular in filing its statutory returns also that there were no complaints, prosecutions launched against the Transferor Companies as well as against the directors for the violation of the Companies Act, 2013 and the Companies have not been inspected under Section 210 of the Companies ACT, 2013 and no investigation proceedings are pending against the companies.

12. The OL has also stated that the books and records of the companies are maintained in accordance with the generally accepted auditing practices in India and has not come across any instance of fraud on or by the company, noticed or reported since the incorporation of the company to till date. He further submitted that the Chartered Accountants on the basis of the above observations concluded that the affairs of the Transferor Companies have not been conducted in a manner prejudicial to the interest of its members or creditors or the public. The OL has not raised any objection.

13. As mentioned in Clause 14 of the Scheme, it appears that the Accounting Treatment is in conformity with the Accounting Standards. The Appointed date of the said Scheme is 01.04.2018.

14. There is no additional requirement for any modification and the said Scheme of Amalgamation appears to be fair and reasonable and is not contrary to public policy and not violative of any provisions of law. All the statutory compliances have been made under Sections 230 to 232 of

the Companies Act, 2013. Taking into consideration the above facts, the Company Petitions are allowed and the Scheme of Amalgamation annexed with the Petition(s) is hereby sanctioned with the permission for reduction of share capital as proposed. The Scheme approved shall be binding on the Shareholders, Creditors and employees of the Petitioner Companies.

15. While approving the Scheme as above, It is further clarified that this Order will not be construed as an order granting exemption from payment of stamp duty or taxes or any other charges, if payable, as per the relevant provisions of law or from any applicable permissions that may have to be obtained or, even compliances that may have to be made as per the mandate of law.

16. The Companies to the said Scheme or other person interested shall be at liberty to apply to this Bench for any direction that may be necessary with regard to the working of the said Scheme.

17. A certified copy of this Order shall be filed with the concerned Registrar of Companies within 30 days of the receipt of this Order.

18. The Transferor Companies 1 & 2 shall be dissolved without winding up from the date of the filing of the certified copy of this Order with the concerned Registrar of Companies.

19. Upon receiving the certified copy of this Order, the RoC concerned is directed to place all documents relating to the Transferor Companies 1 & 2 respectively with that of the Transferee Company and the files relating to the Transferor Companies 1 & 2 shall be consolidated with the files and records of the Transferee Company.

20. The Order of sanction to this Scheme shall be prepared by the Registry as per the relevant format provided under the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 notified on 14th December, 2016.

21. Accordingly, the Scheme stands sanctioned and CP/397/CAA/2019 stand **disposed of.**

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(CH. MOHD SHARIEF TARIQ)
MEMBER (JUDICIAL)

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